and rental income must presumably be valued on a basis corresponding with the actual value of the assets producing the income. This analysis indicated clearly that, at the price of 64 in 1926, Northern Pipe Line stock was selling considerably below its intrinsic value.[7]

Average 1923–1925*		Valuation basis	Value per share
Earned per share from pipe line.	$2.92	15% (6⅔ times earnings)	$ 20
Earned per share from interest and rentals	4.10	5% (20 times earnings)	80
Total	$7.02		$100

* The nonrecurrent profits and losses are not taken into account.

2. *Lackawanna Securities Company.* This company was organized to hold a large block of Glen Alden Coal Company 4% bonds formerly owned by the Delaware, Lackawanna and Western Railroad Company, and its shares were distributed pro rata to the Delaware, Lackawanna and Western stockholders. The Securities Company had outstanding 844,000 shares of common stock. On December 31, 1931 its sole asset—other than about $1 per share in cash—consisted of $51,000,000 face value of Glen Alden 4% first mortgage bonds. For the year 1931, the income account was as follows:

Interest received on Glen Alden bonds	$2,084,000
Less:	
Expenses	17,000
Federal taxes	250,000
Balance for stock	1,817,000
Earned per share	$2.15

Superficially, the price of 23 in 1932 for a stock earning $2.15 did not appear out of line. But these earnings were derived, not from ordinary commercial or manufacturing operations, but from the holding of a bond

[7] A parallel situation existed in the case of Davis Coal and Coke Company prior to the distribution of $50 per share to stockholders out of its large holdings of government bonds in 1937–1938. Shortly prior to this action the stock had sold at 35. The student can see from the annual reports that the average earnings of $2.06 per share and average dividends of $2.56 in 1934–1937 came entirely from sources other than the coal business.